



NITI Aayog

Strategy for

New India@75

STRATEGY FOR NEW INDIA @ 75

MODULE - 7

7

DOUBLING FARMERS' INCOME (III): VALUE CHAIN & RURAL INFRASTRUCTURE

OBJECTIVES



- Transforming the rural economy through creation of modern rural infrastructure and integrate value chain.
- Leverage the value chain to boost India's exports of food products.
- Create occupational diversification and quality employment opportunities for doubling the farmer's income by 2022-23.

PRESENT SCENARIO



**PRADHAN MANTRI
GRAM SADAK YOJANA**



Saubhagya

Pradhanmantri Sahaj Bijli Har Ghar Yojana

7

DOUBLING FARMERS' INCOME (III): VALUE CHAIN & RURAL INFRASTRUCTURE

1

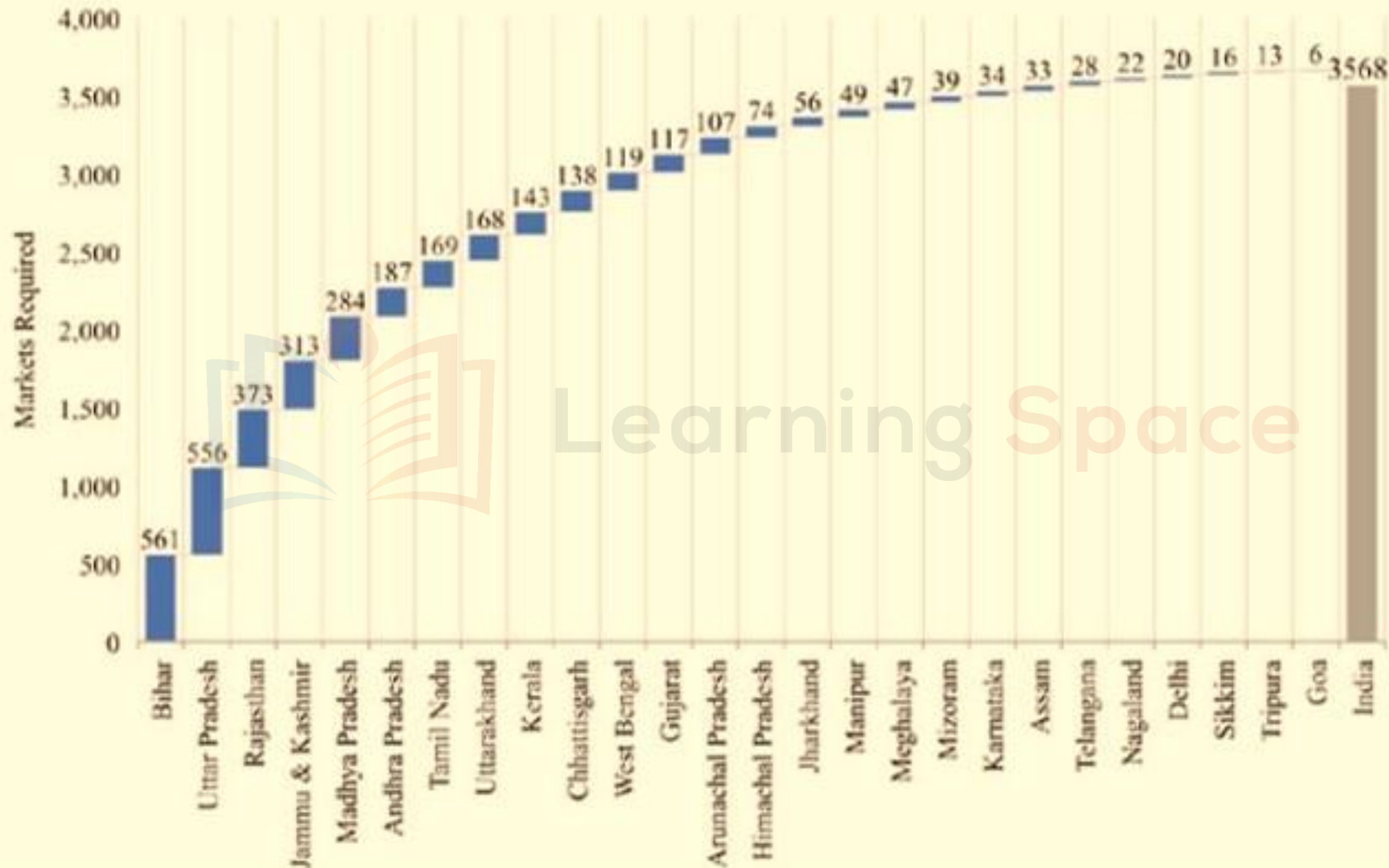
GOOD PROGRESS IN SAUBHAGYA, PMGSY

- India suffers from infrastructure deficit in spite of rapid progress.
- Full village electrification has been achieved.
- The pace of connecting habitations is increased through Pradhan Mantri Gram Sadak Yojana.
- Household electrification has been given a significant push under SAUBHAGYA.
- However, based on the Dalwai Committee recommendations, the number of additional markets required is assessed at 3,548.

Agriculture infrastructure such as rural markets, warehouses and cold chain etc. need upgradation.

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ADDITIONAL MARKETS REQUIRED BY 2022-23



ADDITIONAL GAPS IN COLD CHAIN DEVELOPMENT

Type	All-India Requirement 2015	Status on 31.12.2017
Pack-houses	69,831	20,864
Cold Storage (million)	34.16 MT	35.88 MT
Reefer Vehicles	52,826	1,047
Ripening Chambers	8,319	443

Source: National Centre for Cold Chain Development (2015)

A packing house is a facility where fruit is received and processed prior to distribution to market.

A reefer truck is a truck or van usually 1 ton or larger that has a refrigerated unit built either directly on the frame or is transported by trailer.

Ripening is the process, by which fruits attain their desirable flavour, quality, colour, palatable nature and other textural properties. Ripening is associated with change in composition, i.e., Conversion of starch to sugar.

PACKING HOUSE



RIPENING OF BANANA



7

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2

CONCEPT OF GrAMs

- The Union Budget 2018-19 announced, developing existing 22,000 rural periodic markets into Grameen Agricultural Markets.
- The Grameen Agricultural Market (GrAM) initiative recognises GrAMs as facilities for first stage post production activities.
- It enables aggregation and transport from the village level to the wholesale markets.
- e-NAM (Electronic National Agricultural Market) was launched in 2016 to create unified national market.
- So far 479 mandis have been integrated.

7

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PRESENT SCENARIO

3

LACK OF COLD CHAIN INFRASTRUCTURE



European Union rejected several products from India. The Central Sector Scheme SAMPADA and Operation Greens are in the right direction.

- Lack of cold chain infrastructure leads to massive post harvest losses.
- They are estimated to be Rs. 92,561 Cr annually.
- Perishables account for bulk of post harvest losses.
- Most of the existing cold storages are single commodity storages.
- They are unevenly distributed among the states.
- Inadequate cold chain infrastructure affects food exports also.
- Countries across the globe have stringent guidelines for import of agricultural and processed food products.

7

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CONSTRAINTS

7 Lack of agricultural best practices hinders India's food exports.

6 Separate feeders for supply of power for agriculture and domestic electrification have not been carried out in several states.

5 Poor maintenance of rural roads is another constraint.



LACK OF BEST PRACTICES HINDERS EXPORTS!

1

Public and private investments in agriculture have remained low since the early 90s.

2

Higher degree of uncertainty reduced investor appetite.

3

Inability to acquire land for setting up of market yards is another major constraint.

4

Existing marketing infrastructure suffers because of lack of finance, manpower and proper facilities.



WAY FORWARD

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1

INFRASTRUCTURE STATUS FOR AGRICULTURE VALUE CHAINS



- Warehousing, pack houses, ripening chambers, cold storages should be accorded infrastructure status.
- Government collection centers and warehouses should be set up at the village / block level.
- The proposal of Grameen Agricultural Markets (GrAMs) must be expedited.
- Engage private sector in developing processing centers near rural periodic markets.
- Focus on food processing industry, develop private market yards.
- Upgrade wholesale markets with faculties for temporary storage and cold storage facilities.

WAY FORWARD

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DOUBLING FARMERS' INCOME (III): VALUE CHAIN & RURAL INFRASTRUCTURE

2

NEGOTIABLE WAREHOUSE RECEIPTS



- Pledge financing at warehouses through Negotiable Warehouse Receipts to be adopted.
- Establish functional block level resource centers to create value chains targeting clusters of villages.
- Coordination is needed between Ministries of Agriculture, Food Processing and Commerce to develop effective procurement linkages, processing facilities, retail chains and export activity.
- Railway freight operations should be strengthened through temperature controlled containers.

WAY FORWARD

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3

RURAL ROADS, ELECTRICITY AND MECHANIZATION



- Uttarakhand experimented maintenance of roads by women SHGs. This can be replicated in other states.
- All DISCOMs need to be incentivised for rural feeder separation.
- Agriculture connections rural supply feeders should be separated from domestic rural electricity supply.
- Private entrepreneurs should be incentivised to establish small farm implements mechanization hubs for every 1,000 hectares and big machinery hubs for every 5,000 hectares of cultivated land.

WAY FORWARD

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4

EXPORT ENABLERS



- APEDA is championing the development of export oriented clusters with common infrastructure.
- These should contain end to end cold chains system along with processing facilities.
- There is shortage of testing laboratories essential for health certification for exports.
- Private laboratories should extend financial support to achieve international accreditation.
- Air cargo complexes should be upgraded to develop handling of agriculture cargo.

WAY FORWARD

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DOUBLING FARMERS' INCOME (III): VALUE CHAIN & RURAL INFRASTRUCTURE

4

EXPORT ENABLERS

...Contd



- Regulatory frame work with regard to use of pesticides, growth hormones and antibiotics for marine produce need to be developed and implemented effectively to curb the rejection rate in the export market.
- Promotion of Farmers Producer Organisations, export based clusters and contract farming will go a long way towards ensuring traceability of farm produce, a key export requirement.

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